

Bridge Participation vs. Dilution Impact

INSPIRONICS — BOARD BRIEFING

Pre-Money Valuation

\$4,000,000

Bridge Raise

\$40,000

New Shares Issued

100 Shares

This slide illustrates the direct ownership and value impact of the \$40K bridge round on shareholders who participate versus those who do not. The mechanics are driven entirely by new share issuance — not share transfer — making participation a straightforward preservation of equity position.



Participating vs. Non-Participating: Side-by-Side Impact

INVESTOR A — PARTICIPATES

✓ Invests \$25,000 in the Bridge Round

Ownership %

Maintained — new shares acquired proportionally preserve existing stake

Exit at \$40M

Value grows proportionally with the company's trajectory

Dilution Impact

None. Participation offsets the dilutive effect of new issuance

📁 **Outcome:** Investor A captures full upside on a \$40M exit, retaining a proportional share of value created since initial investment.

INVESTOR B — DOES NOT PARTICIPATE

⚠️ Invests \$0 in the Bridge Round

Ownership %

Reduced — existing shares represent a smaller percentage of expanded share pool

Exit at \$40M

Payout is lower due to reduced proportional ownership at time of exit

Dilution Impact

Real and measurable. Non-participation means dilution via new share issuance

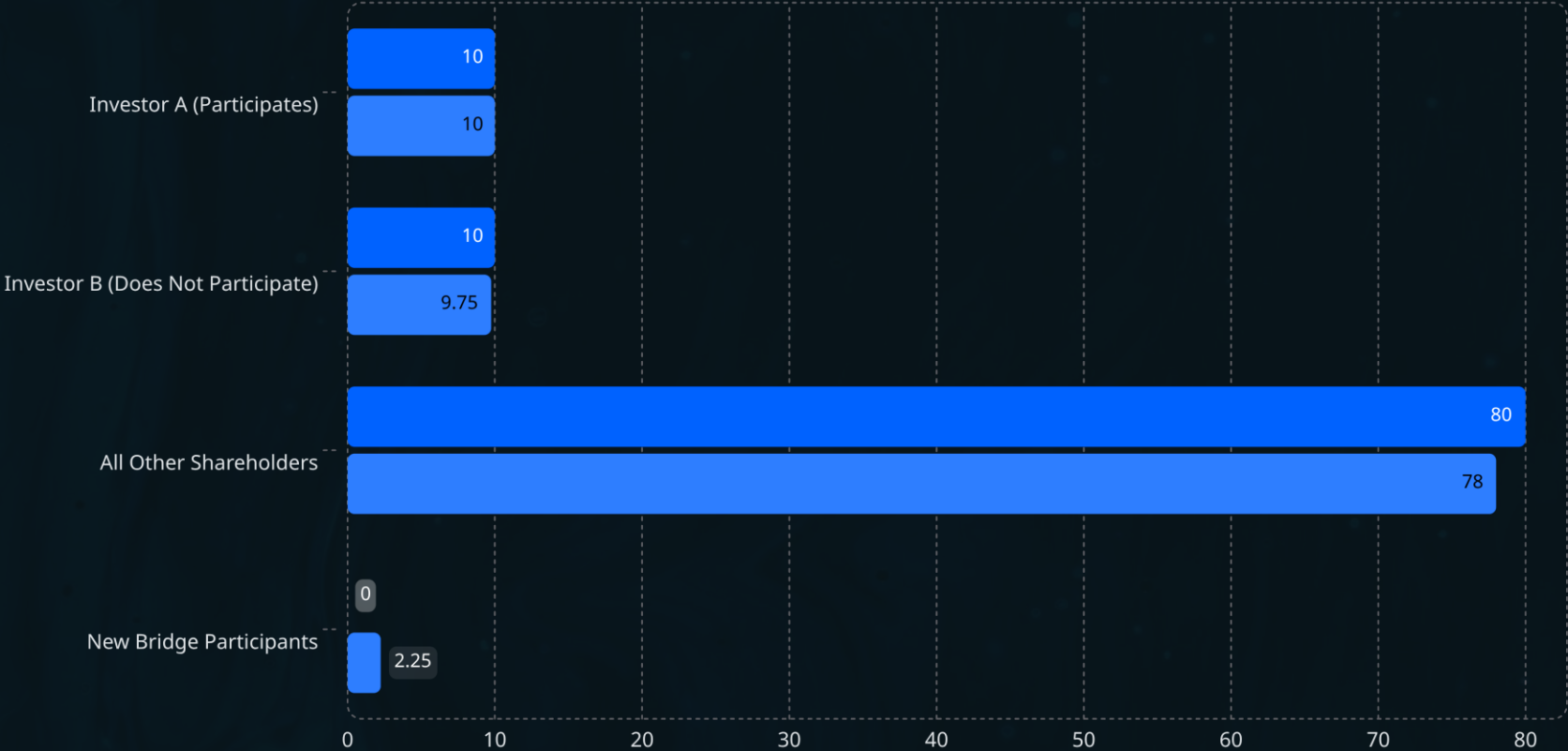
📁 **Outcome:** Investor B receives a reduced exit payout — not because shares were transferred, but because the total share count increased without their proportional contribution.

Ownership Shift: A Quantitative View

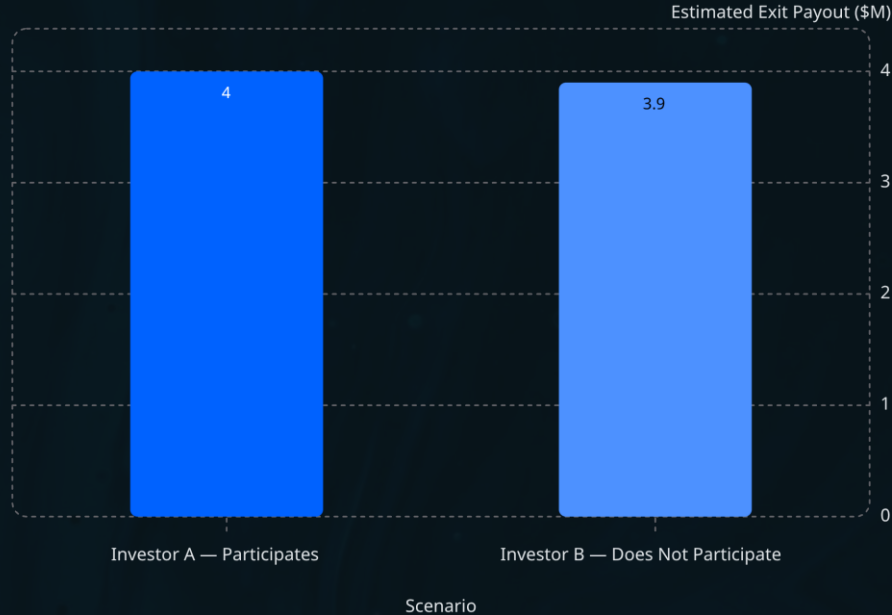
The chart below models the directional ownership impact of new share issuance on participating versus non-participating investors at a \$40M exit scenario. Values are illustrative and proportional to the \$40K bridge raise mechanics.

■ Ownership % Before Bridge ■ Ownership % After Bridge

Investor



Exit Value Comparison at \$40M



What the Numbers Tell Us

At a \$40M exit, the delta between participating and non-participating investors is not trivial in absolute terms. Assuming a 10% pre-bridge ownership position for both investors:

Investor A

Retains ~10% →
~\$4.0M payout

Investor B

Diluted to ~9.75% →
~\$3.9M payout

A \$100,000+ difference in realized value — arising from a \$25,000 participation decision. The asymmetry is clear.

The Fairness Principle

✓ Fairness = Participation

Shareholders who contribute to the bridge round preserve their proportional ownership and capture full upside on exit. The mechanism is equitable: those who fund the company's next stage retain their stake in its success.

⚠ Non-Participation = Dilution via New Issuance

Dilution in this bridge is not caused by share transfers or preferential treatment. It is a direct, mechanical consequence of new shares being issued to participants — while non-participants hold a fixed share count against a growing total pool.

- This bridge structure is designed to be transparent and equitable. Every existing shareholder has been offered the opportunity to participate on identical terms. Dilution, where it occurs, is a function of individual election — not of board discretion or preferential issuance.